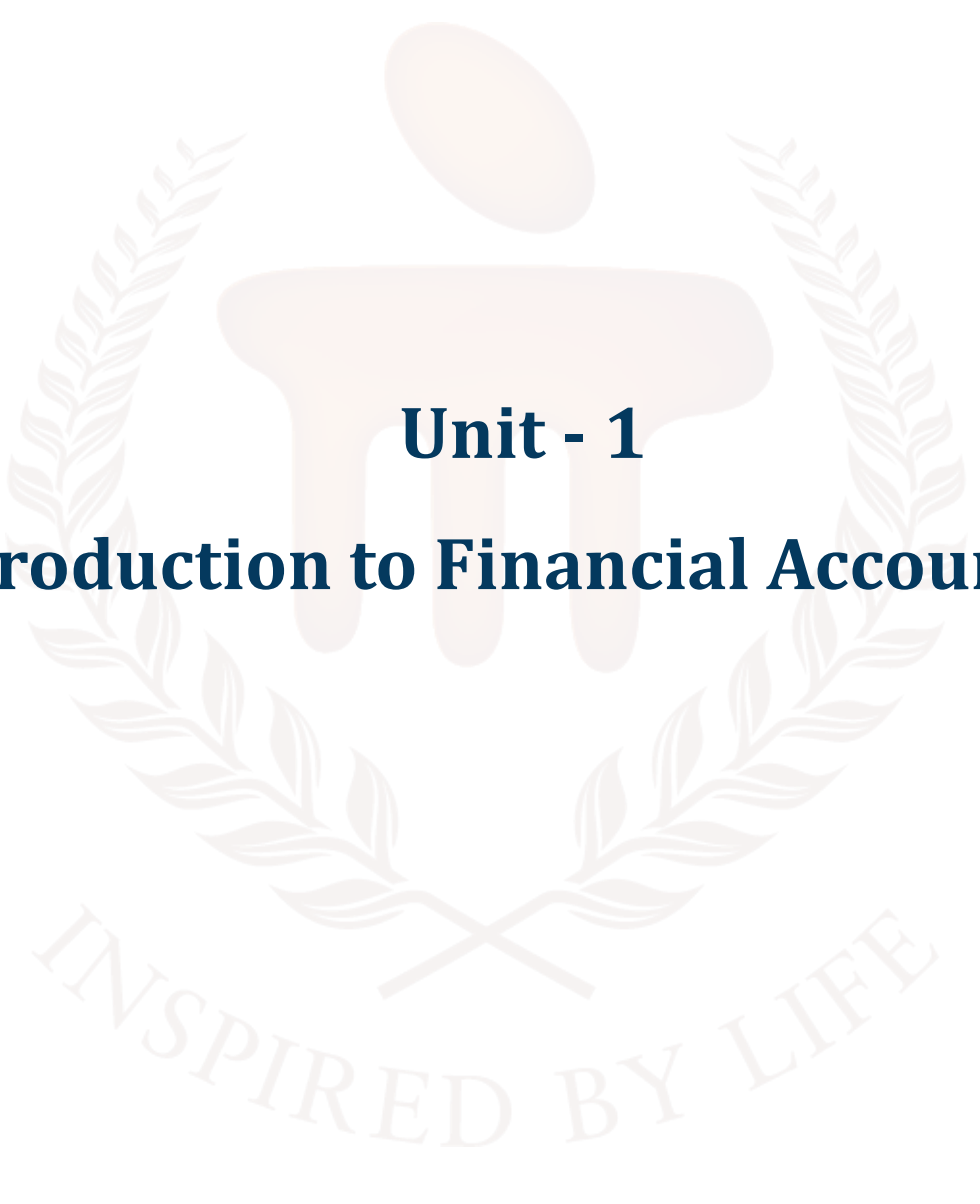




Unit - 1

Introduction to Financial Accounting

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1. INTRODUCTION

During our lifetime we deal with various questions related to finance.

Do we have money? How much money do we have? Is that money good enough to buy what we want? Are we running short of money? Whom can we borrow money from? Where can we invest money for better returns? How can we make more money?

Finance is a method of managing money that involves various activities such as borrowing, lending, investing, saving, budgeting, estimating and income generation.

We cannot run a business without money. We need to have a plan. A plan that helps us to manage the money in such a way that we can make profits. The profits have to be continuous so that the business can run longer.

The question is: How do we manage the money?

Running a business involves money flowing into the business in the form of capital investment, Bank loans given to the business, income from product sales, commissions, Income generated by various assets such as rent, fees, royalty.

Similarly, Money goes out of the business in the form of expenditures, bill payments, repayment of loans, business expenses and losses.

If we do not have a system to keep track of how much money we spent and earned. We can never decide whether we made profits or losses in a business.

Therefore, we require a system that helps us document or make a note of each and every transaction on a daily basis.

All the recorded transactions are summarized in the forms of various accounts.

We then report all the summarized transactions in the form of Balance sheet, Profit and loss Accounts, and cash flow statements.

Book-keeping and accounting are used interchangeably but do not mean the same.

Book-Keeping is a method of Identifying business transactions that involve money. Recording such transactions into books of original entry and classifying them into a ledger.

Whereas accounting is preparing various accounts, the Profit and loss Accounts and finally, the Balance Sheet. Accounting is summarising and analysing the transactions from the ledger so that we can prepare the Profit and loss account and the Balance sheet.

In short, everything that is recorded in the Books of original entry and the ledger is Book-Keeping.

The preparation of accounts that finally helps us prepare the Profit and loss account and Balance sheet is accounting.

Financial Accounting is a specialized branch of accounting that helps keep track of financial transactions using standard guidelines. These transactions are then presented to external parties in the form of financial reports and statements.

External Parties are people outside the company or those who are not running the business. They are external people who would like to know the financial position of the business such as the stock holders or shareholders, Lenders, Bankers, Investors.

If the stocks of the business are publicly traded on the stock exchange, then such financial statements can be read by competitors, customers, employees, investment experts and analysts who are considered as the secondary external parties interested in the financial information of the business.

A person who is engaged in a business activity would like to know two things:

- During the period did my business make a profit or a loss?
- At the end of the period, what is my net worth in terms of what I own (assets) minus what I owe (liabilities)?

Financial accounting gives answers to these two questions by condensing all the happenings of the period into two financial statements viz. the profit and loss account and the balance sheet. While the profit and loss account report the incomes, expenses and the net profit or loss for the period, the balance sheet reports the assets, liabilities and capital at the end of the period. The accounting process also includes analysis of financial statements for insights into the financial health of the enterprise.

Financial accounting enables us to know the financial position of an entity and make decisions based on facts. Accounting also helps us provide financial information to other stakeholders associated with the entity. And when we are connected to the public by the product or service, we offer to them or when we take money from them to run the business, we are required by law to give financial reports to them and to the government. All this is done with accounting.

Financial accounting is therefore vital to business people, and important even to individuals in service. In this unit, we will understand the meaning of accounting and bookkeeping, and the steps involved in the accounting process and the accounting cycle. We will discuss objectives of accounting and see how the financial information projected through accounting is used by different stakeholders.

1.1 Objectives

After studying this unit, you should be able to:

- Define accounting and bookkeeping
- Describe the accounting process and the accounting cycle
- Explain the objectives of accounting
- Analyse the requirements of various uses and users of financial information
- Explain some of the terminologies used



2. MEANING OF ACCOUNTANCY, BOOKKEEPING AND ACCOUNTING

Accountancy: refers to a systematic knowledge of accounting concerned with the principles and techniques which are applied in accounting. It tells us how to prepare the books of accounts, how to summarise the accounting information and how to communicate it to the interested parties.

Bookkeeping: means identifying transactions of a financial nature, measuring the identified transaction in terms of money, recording the identified transactions in books of original entry and finally classifying them into a ledger.

Bookkeeping is recording transactions in a systematic manner in the books of accounts, using the technique of the double-entry system.

Bookkeeping is the first segment in the activity of financial accounting. It comprises the recording of all transactions and events of a period in the books of original entry (Journal) and review of the records to ensure its correctness. Only if bookkeeping is done correctly can the accounting records be considered fit for the next stage, i.e., the preparation of financial statements.

Accounting: Accounting starts where bookkeeping ends. Accounting refers to summarizing the classified transactions from the ledger in the form of a Profit and Loss Account and Balance sheet. Then Analyzing and interpreting the summarized result to communicate the information to the interested parties.

2.1 Definitions of Accounting

As per the definition by American Institute of Certified Public Accountants (AICPA)

“Accounting is the art of recording, classifying and summarizing in a significant manner and in terms of money, transactions and events, which are in part at least of a financial character, and interpreting the results thereof.”

According to Smith and Ashburne,

“Accounting is the science of recording and classifying business transactions and events, primarily of a financial character and the art of making significant summaries, analysis and interpretations of those transactions and events and communicating results to persons who must take decisions or form judgement.”

A later definition given by American Accounting Association (AAA) in 1966 shifts the focus from compiling financial information to communicating it:

“Accounting is the process of identifying, measuring and communicating economic information to permit informed judgments and decisions by the users of the information.”

AICPA modified the definition in 1970:

“Accounting is a service activity. Its function is to provide quantitative information primarily financial in nature about economic activities, intended to be useful in making economic decisions.”

2.2 Definition of Book Keeping

According to Northcott, “Book Keeping is an art of recording in the books of accounts the monetary aspect of commercial or financial transactions.”

2.3 Definition of Accountancy

According to Kholer, ‘accountancy refers to the entire body of the theory and practice of accounting’

3. THE ACCOUNTING PROCESS

Let us now study the process of accounting in detail.

1. **Identifying transactions and events:** The first step in the accounting process is to recognize the transactions and events of a period that have to be recorded in the books of accounts.

- A transaction is a commercial activity like sale, purchase, expenditure etc. which involves transfer of financial value between one entity and another.
- An 'event' is a commercial happening that involves gain or loss of financial value for an entity. Examples: marking down the value of an investment, wear and tear of machines, likely cost of free warranty etc.

A simple test to decide whether a transaction or event has to be recorded in the books is: has it impacted the financial value of the entity in any way? If it has, then the transaction or event has to be recorded.

2. **Measuring:** In this step, we express the value of events and transactions in monetary terms.

Measuring a transaction in monetary value is easy as the parties usually agree upon the value. For example, the sale of goods is worth Rs 20,000. Whereas on the other hand, in the case of exports and imports we may have a problem because the value has to be converted to rupees and the exchange rate between the foreign country's currency and the rupee may fluctuate.

But measuring an event is far more difficult, because here a transaction does not take place. This requires careful judgment.

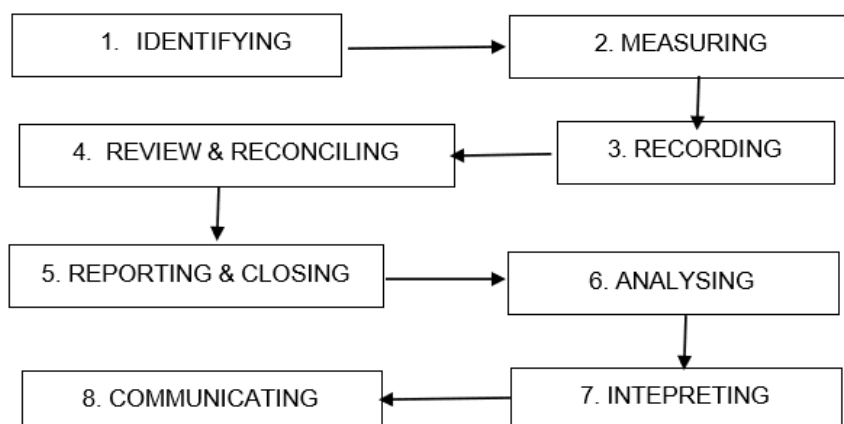


Figure 1: The Accounting Process

3. Recording:

In this step, we record identified transactions in the books of accounts. What are books of accounts? These are the records that are structured for entering every transaction in a codified form for being processed further. The number of different books we use depends upon the nature of activity and the extent of detail needed.

The entire recording of identified transactions with the amount, date and particulars is made in the books of original entry or Journal. From here the transactions are further classified and entered into a number of 'accounts' or 'ledger accounts' (sometimes called 'ledgers').

Accounts can be classified into five broad categories: liabilities, assets, incomes (or revenues), expenses and capital. When we begin to maintain accounts for an activity, we first create the 'chart of accounts', which contains a number of account heads under each of the five types. All transactions and events will get recorded in the relevant accounts.

In order to ascertain whether the Business made Profits or Losses do we really require to prepare so many accounts under various account heads?

The answer is "Yes"

Total assets minus total liabilities may show the profits or losses made by a business but in order to understand:

Which income was reduced and which particular cost increased?

What are the assets held by the business and the liabilities to be repaid?

Hence you need an elaborate list of account heads classified into five types, and do the recording at a more granular level.

Every transaction or event results in a change in two or more accounts and these changes are entered under the account heads concerned.

The book in which transactions are first recorded is called the Journal. The activity is recorded through a Journal Entry (JE). The system used for the recording is called 'double-entry system of bookkeeping', which we will be studying in detail later.

The Journal Entries are then posted into the concerned ledger accounts.

At the end of the period, we extract the net balance of each ledger account and record the positive and negative balances of all the accounts in a statement called the trial balance.

With this step, we conclude the first phase in the accounting cycle viz. transaction accounting.

4. Reviewing and Reconciling

The balances in all the accounts listed in the trial balance at the end of transaction accounting are now reviewed and reconciled in order to guarantee their correctness. This is the second stage in the accounting cycle and is called 'reconciliation adjustments'.

Adjustments are required for two important reasons:

- a) To account for incomes and expenses that are incurred but not through a transaction, and therefore are not visible. We do this by reviewing each account.
- b) To account for changes which have happened in the values of liabilities and assets but are not visible. We do this by reconciling the assets and liabilities in line with their correct values.

Why should we make these adjustments? We have an exhaustive set of accounting principles to be followed, and the accounts should be in line with these principles.

After the adjustments are recorded the balances of all the accounts are calculated again and extracted. The trial balance is prepared afresh, and this is the adjusted trial balance.

5. Reporting and closing:

In this step, we first prepare the financial statements from the adjusted trial balance. This is when the accounting work done in the first four steps becomes useful, because it is through the financial statements that we report on the financial health of the entity to all stakeholders.

The basic financial statements are the Profit and Loss Account and Balance Sheet. Supporting statements are Cash Flow Statement and Statement of Changes in Equity.

After the reporting is completed, an important action is 'period closing'

i.e., closing the books for the period and extracting a 'closing trial balance', with which we can start accounting for the next period.

With reporting and closing, the accounting cycle is also complete, and we are back at the starting point in the cycle i.e., transaction accounting which we do for the next period.

6. Analyzing:

The financial statements are analyzed for capturing trends, identifying factors of success and failure and presenting the financial information in significant ratios and indices.

7. Interpreting:

In this step the users review the reports and learn lessons to be used in the next period. The figures are reviewed followed by the formulation of strategies. Finally, the decisions are taken.

8. Communicating:

Many users of financial reports are passive receivers of the information. In this final step in the accounting process the financial information is furnished to different users in line with their specific requirements.

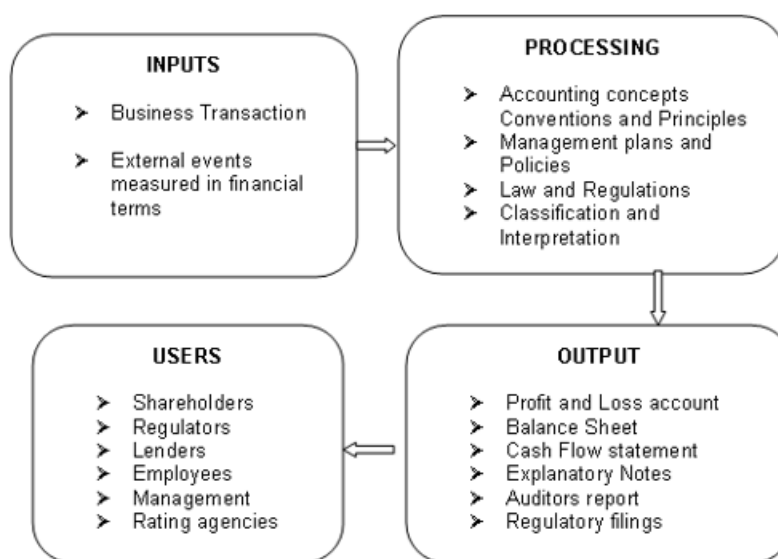


Figure 2: Accounting Information System

(Source: Adapted from Financial Accounting, Management perspective by R Narayanaswamy)

SELF-ASSESSMENT QUESTIONS – 1

True or False Questions:	
1	Bookkeeping is a sub-set of financial accounting. (True/False)
2	Why is period closing a necessary step in the accounting cycle?
3	“Analysis of financial information helps in capturing and identifying factors that contribute to success or failure”? Explain

4. OBJECTIVES OF ACCOUNTING

The objectives of accounting are:

1. To maintain a systematic and complete record of business transactions as per specified rules to prevent errors, omissions and frauds.
2. To ascertain Net profit earned or Net loss suffered by preparing the profit and loss account of a business entity for a given period to present its financial performance for the period.
3. To know the exact reason leading to net profit or net loss.
4. To ascertain the financial position of the business by preparing the balance sheet of a business at the end of a given period to present its financial position on that date.
5. To ascertain the yearly progress of the business.
6. Furnishing sensitive analysis of financial information to internal users like top management, Board and line managers for effective decisions.
7. In the case of a limited company, reporting the financial information to the shareholders and to statutory agencies viz. Registrar of Companies (ROC) and Securities Exchange Board of India (SEBI) in line with the legal requirements.
8. Using the financial accounts to prepare tax accounts and arrive at taxable income, for filing the annual tax return and tax audit report.
9. Reporting financial information to external users viz. financial partners, vendors, investors, banks, creditors, government authorities, customers and employees as may be required.

SELF-ASSESSMENT QUESTIONS – 2

Fill in the blanks:	
4	The financial performance of an enterprise is ascertained by preparing the_____. (Profit and loss account / balance sheet / both)
5	Expand SEBI.
6	Mention any five stakeholders of a business entity.

5. DIFFERENCES BETWEEN BOOK-KEEPING AND ACCOUNTING

Basis of Difference	Book-Keeping	Accounting
Scope	Includes identifying, measuring, recording and classifying transactions into the Ledger.	Includes summarizing, analyzing transactions, interpreting them, and communicating the results to the interested parties.
Stage	This is the Primary or first stage.	This is the secondary stage. Accounting begins when bookkeeping ends.
Objective	To maintain systematic records of transactions of financial nature.	To ascertain the net results and the financial position of the business.
Nature of Job	Book-keeping function is Clerical and routine in nature.	Accounting function is analytical in nature.
Knowledge level	Can be performed with a limited level of knowledge in accounts.	Requires a higher level of knowledge.

(Source: DK Goel, Rajesh Goal, Shelly Goel... Accountancy Arya Publications)

6. USE OF ACCOUNTING INFORMATION

Accounting plays a crucial role in business and personal financial management by systematically recording, summarizing, and analyzing financial transactions. The key advantages are:

Systematic Recordkeeping: Accounting ensures a comprehensive and accurate record of all financial transactions, enabling businesses to track income, expenses, and profits effectively. This systematic approach ensures access to complete and accurate information for making business decisions.

Financial Position Analysis: The Profit and Loss Account and Balance Sheet provide essential information about the financial position of the business. These tools help assess business performance and evaluate financial stability.

Facilitating Loan Approvals: Accounting information is of great help when raising loans from banks and other financial institutions, as they prefer to review the financial statements of the business before sanctioning a loan. Organized financial records improve a company's credibility with lenders and investors, making it easier to secure loans or attract funding.

Legal Compliance: Proper accounting ensures adherence to tax regulations and legal requirements. It helps calculate accurate taxes and provides audit-ready records, reducing legal risks. Properly maintained accounts, supported by authenticated documents, are also accepted as evidence in a court of law.

Business Valuation: If the business is to be sold in the future, accounting information can be utilized to determine the price at which the business can be sold.

Compliance and Auditing: Properly maintained accounting information is required for auditing purposes and for meeting the requirements of tax authorities.

Planning and Cost Control: Accounting facilitates financial forecasting and budgeting by offering a clear view of cash flow and resource allocation. Accounting information can be used to estimate future sales and expenses, control the cost of production, and plan business operations. This helps businesses plan for future expenses and investments.

Performance Evaluation: Businesses can measure profitability and operational efficiency through accounting reports, enabling them to identify strengths and areas for improvement.

Fraud Detection and Prevention: Regular accounting audits identify discrepancies or errors, reducing the risk of fraud and financial mismanagement.

Stakeholder Communication: Accounting provides transparent financial reports for stakeholders, including investors, creditors, and management, fostering trust and confidence.

Limitations of Accounting

While financial accounting is essential for recording and reporting business activities, it has several limitations that impact its comprehensiveness and accuracy. These include:

1. **Focus on Quantifiable Transactions:** Financial accounting records only monetary transactions, ignoring qualitative factors like leadership effectiveness, workforce capability, product quality, R&D efforts, and brand reputation. As a result, financial statements do not provide a holistic view of a business's overall performance.
2. **Reliance on Historical Costs:** Financial statements for a going concern are prepared based on historical cost. Consequently, the balance sheet does not reflect the current market value of assets but only their original cost, adjusted for accumulated depreciation.
3. **Inherent Approximations:** The financial profit or loss reported for an accounting period is only an estimate and not entirely accurate. Many items in the financial statements depend on the discretion and judgment of the accountant, making the final income figure an approximation.
4. **Judgment-Based Estimates:**

Accountants often need to use professional judgment where precise accuracy is unattainable. Examples include:

- Valuation of inventory.
- Estimation of the useful life of fixed assets to calculate depreciation.
- Assessing the collectability of receivables.
- Valuing foreign currency-denominated assets and liabilities.
- Assigning value to assets manufactured for internal use.

These estimates are necessary to present a "true and fair view" of the financial position but can lead to variations in reported results.

5. **Dependence on Historical Costs:** Assets in financial statements are recorded at their original purchase cost, adjusted for depreciation, rather than current market value. This reliance on historical costs means the balance sheet may not reflect the true value of assets, especially during periods of significant market fluctuation.
6. **Use of Approximations:** Reported profits or losses are often estimates rather than precise figures. Many components of financial statements rely on the accountant's judgment, introducing an element of approximation. For instance:
 - Inventory valuation.
 - Estimating the useful life of assets for depreciation.
 - Assessing the recoverability of receivables.
 - Valuation of foreign currency assets and liabilities.
 - Assigning values to internally manufactured assets.

These estimates, while necessary for presenting a fair view, may lead to variations in reported outcomes.

Risk of Manipulation:

Discretion in accounting can sometimes be misused to manipulate financial results.

Window Dressing: Overstating profits to present a better financial position than reality.

Creation of Secret Reserves: Deliberately understating profits to create hidden reserves.

Both practices are unethical and distort the financial statements, misleading stakeholders.

Regulatory Measures:

Statutory accounting regulators attempt to curb malpractice by strictly enforcing accounting standards, particularly for companies that are widely held or listed on stock exchanges.

SELF-ASSESSMENT QUESTIONS – 3

Fill in the blanks:

- | | |
|---|---|
| 7 | _____ are chief providers of risk capital and need to understand both the return on their investments and the associated risk. |
| 8 | _____ use financial reports for negotiating wage packages, profit sharing, and retirement benefit planning. |
| 9 | _____ have a legitimate interest in financial reports of publicly held enterprises to ensure efficient operation of capital market. |

True or False Questions:

- | | |
|----|---|
| 10 | Management of a company is interested only in the annual financial report and its review.
(True/false) |
|----|---|



7. LIMITATIONS OF ACCOUNTING

Financial reports generated from the accounting activity have the following limitations:

- Only transactions that can be measured in terms of money are covered by financial accounting. Qualitative aspects like leadership, human resources, product quality, research & development, brand image etc. are not evaluated, quantified and recorded.
- Financial statements of a going concern are prepared at historical cost. To this extent, the balance sheet does not carry the real value of the assets but only the original cost less accumulated depreciation.
- The financial profit or loss reported for an accounting period is only an estimate and not accurate. Many items in the financials are left to the discretion and estimation by the accountant and the final income figure is only an approximation.
- The accountant has to use judgement in respect of several items where accuracy is not possible. Examples are inventory valuation, actual useful life of an asset while calculating rate of depreciation of fixed assets, collectability of receivables, value of assets and liabilities held in foreign currency, value of assets manufactured for own use etc. The financials have to present “a true and fair view” of the financial status of the business, and so estimations are necessary.
- Some accountants, however, misuse the discretion and make estimates to suit their preferences. This results in an overstatement or understatement of profits. When profit is boosted wrongly the practice is called ‘window dressing’ and when profits are deliberately shown lower, it is called ‘creation of secret reserve’. Both practices are bad and unacceptable.

Statutory accounting regulators try to curb such malpractice through strict imposition of accounting standards, especially when the company is widely held and listed on stock exchanges.

SELF-ASSESSMENT QUESTIONS – 4

Fill in the blanks:	
11	The net profit reported in the income statement is _____ (An estimate / an exact figure).
12	Fixed assets on the balance sheet are valued at _____ (Cost less accumulated depreciation / its present market value).

13	The practice of under-stating profits deliberately is called _____.
True or False Questions:	
14	Accounting takes into account qualitative factors like brand image. (true / false).

Accounting System

The system of accounting refers to the structured process of identifying, recording, classifying, summarizing, and interpreting financial transactions to provide accurate financial information. The goal is to ensure systematic tracking of all monetary activities and to help businesses manage their finances efficiently.

Single-Entry System

The single-entry system is a simplified method of accounting where each financial transaction is recorded only once, either as income or expense. It is often used by small businesses or individuals due to its simplicity, but it lacks comprehensiveness and does not adhere to the double-entry principle. It mainly tracks cash flows and basic financial transactions without detailing assets, liabilities, or equity.

Example: A small bakery records daily cash sales of £200 in a cashbook but does not track credit sales or inventory. While easy to maintain, this system cannot prepare a balance sheet or assess the complete financial health of the business.

Benefits:

- **Simplicity:** Easy to implement and requires minimal accounting knowledge. Example: A small café records daily cash sales in a cashbook without needing complex financial systems.
- **Cost-Effective:** Requires fewer resources, making it ideal for small businesses or individuals.
- **Time-Saving:** Reduces the time needed for maintaining and updating records.

Limitations:

- **Inaccuracy:** Fails to capture the complete financial picture, increasing the risk of errors or fraud. Example: Missing credit sales leads to understated revenue.
- **No Financial Statements:** Inadequate for preparing balance sheets or profit and loss accounts.
- **Limited Decision-Making Insight:** Offers minimal data for evaluating financial performance or planning growth.

The single-entry system suits small-scale businesses but is unsuitable for organisations requiring accurate and detailed financial records.

Double-Entry System

The double-entry system records every transaction in two accounts: a debit in one account and a corresponding credit in another. It adheres to the accounting equation (Assets = Liabilities + Equity), ensuring accuracy and completeness. This system is widely used by businesses as it provides a comprehensive financial overview.

Example: A company purchases office furniture for £1,000 on credit. The transaction is recorded as:

Debit: Furniture Account (£1,000) – increases asset.

Credit: Accounts Payable (£1,000) – increases liability.

Benefits:

- **Accuracy and Reliability:** Ensures each transaction is balanced, reducing errors. Example: A business purchasing equipment for £5,000 records it in both asset and liability accounts.
- **Comprehensive Financial Records:** Facilitates the preparation of financial statements, aiding better decision-making. Example: Profit and loss accounts assess business profitability.
- **Error Detection:** Helps identify discrepancies through trial balances.

Limitations:

- **Complexity:** Requires accounting expertise and more time to maintain. Example: A small shop owner may find it challenging to maintain detailed ledgers.
- **Higher Costs:** Needs advanced tools or professional accountants, increasing operational costs.

The double-entry system is indispensable for medium and large businesses due to its accuracy and detailed insights but can be resource-intensive for smaller firms.

8. BASIC TERMINOLOGIES

We have used some terms in the foregoing sections that are profusely used in bookkeeping and accounting. We will list these terms and their brief meanings in this concluding section.

1. **Transaction:** A business event that results in a monetary impact on the assets or liabilities in the financial statements of the Business entity. A transfer of money, goods, or services from one person to another. Cash transactions are when money is transferred. Credit transactions are when money is not exchanged but there is a promise to pay or receive money at a future date.
2. **Event:** is the consequence or result of a transaction. commercial happening that involves gain or loss of financial value for an entity. The happening is not visible like a transaction, but it has an impact on the financial position. For instance, a machine worked regularly suffers wear and tear, and so the loss in its value has to be reckoned and accounted for. Here, the loss of value is an event.
3. **Account, Account head:** The accounting unit in which activities are recorded using rules of double-entry bookkeeping. Account head is the name or title given to the account.
4. **Account Type or Category:** Accounts are of five types, viz. assets, liabilities, incomes, expenses and capital. Every account belongs to one of these categories.
5. **Chart of accounts:** An elaborate, classified list of account heads that are used by the entity. The chart is prepared at the beginning of the life of an entity and regularly modified to cope with changing needs.
6. **Accounting period:** The time period for which the business records transactions, prepares its accounts and the financial reports. While the entity goes on, an artificial stop is made from time to time to take stock of the financial performance, and the period that is covered for the review is the accounting period. Businesses can either consider the calendar year 1st January to 31st December or the Fiscal Year from 1st of any month other than January as the accounting period. For instance, 1st of April 2021 to 31st March 2022. Accounting Statements are prepared from the start to the end of the financial period which may be either 3 months or 6 months or 12 months.
7. **Entity:** The unit of business or any other activity for which accounting is done. The owner of the business and the business are considered as two separate individuals.

8. **Company:** A form of organization that is registered as a limited company with the Registrar of Companies in India and can source funds from the public by issuing shares. People to whom the shares are issued are called shareholders. The total of all money collected from shareholders is the company's capital, known as share capital.
9. **Capital:** refers to the amount invested by the owner of the business. It is the amount with the help of which goods and assets are purchased in the business. Funds brought into the business by the owner or owners at the beginning and later during the life of the entity. When owners take away the funds for their private use the capital gets reduced.
10. **Asset:** A resource acquired or created by an entity from which economic benefits are expected. Anything which is the property of the business, including the amounts due to it from others, is called an asset. Anything that enables the business to get cash or a benefit in future is an asset.
11. **Non-Current or Fixed Assets:** Assets that are held for continued use in business for the purpose of producing goods and services, not meant for resale. Fixed Assets with a working life of more than one year, and represent the infrastructure of the business: for example, land, buildings, machinery, furniture, long-term investments etc.
12. **Current Asset:** are those assets, which are meant for resale or can be converted into cash in less than one year. The assets that represent the operating or working capital of the business: for example, receivables, inventories, investments, prepaid expenses, cash etc.
13. **Liability:** A financial obligation of an entity to outsiders that is due and has to be settled on a given day. It refers to the amount the business entity owes to outsiders except for the Owners. These are debts or loans taken by the business. For example, Creditors.
14. **Current liability:** A liability that has to be settled within one year: for example, expenses incurred but not paid, goods received for which payment is to be made. For example, Bank overdraft, Bills payable, creditors, short term loans and outstanding expenses.
15. **Long term or Fixed liability:** A liability that becomes due after more than one year: for example, long-term loans, debentures, pension liability etc.
16. **Equity:** The total amount repayable to the investor in the business on the date of the balance sheet. This is equal to the original capital and further capital brought in, plus the retained earnings i.e., the total profits earned by the business from inception, less dividends paid in case the entity is a company, and less withdrawals by proprietors in case of sole traders or partnerships.

17. **Goods:** The merchandise, commodities, products, articles etc. which a trader buys or produces, and sells.
18. **Inventory or Stock:** value of Goods held by a business lying unsold at the end of the accounting period. Stock may be raw materials or partly finished goods held for use in further production or finished goods meant for sales.
19. **Opening Stock** – is the value of goods lying unsold at the beginning of the accounting period.
20. **Closing Stock** - is the value of goods lying unsold at the end of the accounting period.
21. **Drawings:** Withdrawal of cash or goods of the entity by the proprietor for personal use. Drawings represent a reduction in capital.
22. **Debtors, Accounts receivable or Trade receivables:** Money owed to the entity by a customer for goods sold or services rendered.
23. **Creditors, Accounts payable or Trade payables:** Persons to whom the entity owes money for goods or services bought from the person.
24. **Purchases:** Any good that is purchased in which the business deals with. For instance
25. In case of manufacturing business raw materials and semi-finished goods that are used in further production are purchases.
26. In the case of trading firms, finished goods that are bought by the business for resale with the intention of making profits are considered as purchases.
27. However, if a trader buys furniture for the customer to sit on during business hours. The furniture is not considered as a purchase as it is treated as an asset.
28. **Purchases Returns:** When purchased goods are returned to the suppliers, these are considered as purchase returns. Also known as ‘return outwards’, as the goods are going out of the business. Here the business may return the purchased goods if they are damaged or not as per their requirement or for any other reason.
29. **Sales:** Sales means transfer of ownership of goods or services to customers for a price. The term ‘sales’ is used only for the sales of those goods which are purchased for resale purpose. It also includes revenue that is earned by providing services to the customers. Sales of assets are not considered as sales.
30. **Sales income or Sales revenue:** Gross billings on customers for sale of goods and services to them.
31. **Sales Returns:** When customers return the goods sold to them are termed as Sales returns. It is also termed as ‘Return Inwards’ as the goods are moving back into the business. Here the

customers may return the goods if they are damaged or not as per their requirement or for any other reason.

32. **Expenses:** is the cost incurred in the production and selling the goods and services. Such as Cost of goods sold, amount paid for rent, commission, salary, Advertisements. Reduction in the value of assets caused by wear and tear or depreciation is also an expense.
33. **Other income:** Income of the entity from sundry sources like scrap sales, rents, interest and dividends etc.
34. **Net profit or Net earnings or Net income:** Total income of the entity less cost of goods sold, less operating and other expenses, less income tax. If this figure is negative, it is called Net loss.
35. **Journal:** A book of prime entry in which all the transactions are first entered chronologically with the help of journal entries (JEs).
36. **Ledger:** The principal accounting book of the entity in which all the accounts are maintained, and from which the financial reports can be prepared. The journal entries are posted to relevant account heads in the ledger to complete the process of bookkeeping.
37. **Trial balance:** A list of all ledger account balances on a given day.
38. **Profit and Loss account or Income statement:** The statement that shows the revenues and other incomes earned, the expenses, the net profit and how the profit is distributed for a given period, usually a year.
39. **Balance sheet:** The statement that shows the assets owned by the entity, its liabilities and its equity on a given day.

SELF-ASSESSMENT QUESTIONS – 5

Multiple Choice Questions:	
15	The resources owned by a business are called a) Equity b) Assets c) Liabilities d) Capital
16	The individuals and entities who buy goods from the company on credit are called a) Borrowers b) Creditors c) Debtors

	d) Traders
17	A person or entity who has an interest in the economic performance of a business a) Well-wisher b) Stakeholder c) Legal authority d) Shareholder
Fill in the blanks:	
18	Inventory may be held by a business entity for _____ or _____.
19	Drawings by the proprietor represent a/an _____ in the capital. (Decrease / Increase)
20	The trial balance is the summary of balances in the accounts _____ (From transactions during a period / at the end of a period).



9. SUMMARY

Let us recapitulate the important concepts discussed in this unit.

- Accounting is the process of identifying transactions and events of an entity, measuring them in terms of money, recording them in the books of accounts using principles of double-entry bookkeeping, and preparing financial statements from the books to ascertain the financial health of the entity.
- The main objective of accounting is to report financial information to the stakeholders in an entity, viz. investors, lenders, regulators, security analysts, rating agencies, managers, employees, tax authorities, trade unions, customers, government and the general public.
- Financial information is reported through two main financial statements
- i.e., the balance sheet and profit and loss account. Cash flow statement and statement of equity are other financial reports used selectively.
- Profit and loss account reports the net profit (or loss) for the period, and balance sheet reports the net worth at the end of a period (total assets minus total liabilities).

10. GLOSSARY

Accounting	- The process of identifying, measuring, and communicating economic information to permit informed judgments and decisions by the users of the information
Bookkeeping	- The process of maintaining the books of accounts based on principles of double-entry system
Stakeholders	- Groups of people who have a financial interest in the entity

11. TERMINAL QUESTIONS

1. Explain the process of accounting.
2. Describe the accounting cycle. Why is it called a cycle?
3. What are the objectives of accounting?
4. How is financial information used by investors and lenders?
5. How does financial information help government to regulate business?



12. ANSWERS

Self-Assessment Questions

1. True
2. The step of closing is necessary for the purpose of getting the books of accounts ready for starting the accounting for the next period.
3. Trends and Factors
4. Profit and loss account
5. Securities and Exchange Board of India
6. Shareholders, Management, Lenders, Government, Analysts
7. Investors
8. Trade Unions
9. Stock Exchanges
10. False
11. An estimate
12. Cost less accumulated depreciation
13. Creation of secret reserves
14. False
15. (b) Assets
16. (c) Debtors
17. (b) Stakeholder
18. Sale, Consumption
19. Decrease
20. At the end of a period

Terminal Questions Answers

Answer 1: The accounting process is discussed in section 1.3.

Answer 2: Accounting cycle comprises transaction accounting, reconciliation and adjustments, financial reporting, and closing the books. It is a cycle because we go back to transaction accounting after closing. Refer 1.3.

Answer 3: Main objective is to report financial performance and position. Refer 1.4.

Answer 4: Investors use financial information to decide whether to invest, stay invested or quit. Creditors need assurance that their dues will be paid. Refer 1.7.

Answer 5: Government uses financial information of the main players in an industry to formulate laws on taxes and other commercial matters Refer 1.7.



13. CASE STUDY

Kavya is a management trainee who is on internship with Kashyap Landscaping Ltd. She is given a sheet comprising a list of 18 transactions and asked to identify the types of accounts that are affected in each transaction. She seeks your help.

Required:

For each transaction, indicate how the accounts affected would be classified i.e. (a) asset, (b) liability, (c) capital, (d) income, (e) expense or (f) dividend.

Transactions

1. Sale of ordinary shares issued through a public offer
2. Equipment installation cost paid by cheque
3. Salaries to be paid to employees for the month, on the 5th of next month
4. Sales of services to customers on credit
5. Power, fuel and water bills paid for the current month
6. Purchase of machinery spares on credit
7. Payment towards basic research work
8. Income tax for the current year computed
9. Entry in bank statement of interest charged on bank overdraft
10. Cash received from customers for credit sales
11. Sale of goods to customers on credit
12. Purchase of stationery and office supplies on credit
13. Property tax paid in March for the next financial year
14. Payment by cash for newspaper advertisement
15. Payment of equated monthly instalment of a vehicle lease
16. Raw material supplier's old bill paid
17. Dividends paid to shareholders
18. Bonus shares issued to shareholders

Hint:

Remember, in any transaction two or more accounts will be affected.

For instance:

Sale of ordinary shares issued through a public offer: An asset (cash) and capital (equity share capital) are affected.

14. REFERENCES

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